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# An Empirical Study on Enhancing Explainability through Quantum Machine Learning for Credit Risk Analysis

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***Abstract*—This study delves into exploratory data analysis (EDA) and the application of both classical and quantum machine learning models for credit score classification, focusing on a multifaceted approach to improve model performance and interpretability. It starts with thorough data preprocessing, which involves encoding categorical variables and standardizing numerical features to prepare the dataset for analysis. Visualization techniques such as pair plots are employed to reveal relationships and correlations between features and the target variable. The classical modelling phase involves training a Support Vector Classifier (SVC), which is evaluated on training and test datasets, and utilizing Kernel Principal Component Analysis (KPCA) for dimensionality reduction to enhance model efficiency. In addition to classical methods, the study explores quantum machine learning approaches by applying quantum feature maps and Quantum Support Vector Classifiers (QSVC), which leverage quantum computing principles to potentially boost classification accuracy. To address model interpretability, Local Interpretable Model-agnostic Explanations (LIME) is used to assess and explain feature importances, providing insights into how different features influence predictions. This comprehensive approach integrates traditional and cutting-edge techniques, aiming to advance the understanding and effectiveness of credit score classification models.**

***Index Terms*—Quantum Machine Learning, Quantum Feature Maps, Explainable AI, KPCA, LIME, SVC, QSVC**

## I. Introduction

Credit score classification is a fundamental task in the financial industry, essential for assessing an individual's creditworthiness and determining their eligibility for various credit products. Accurate credit score predictions are critical for financial institutions as they inform lending decisions, manage risk exposure, and ensure efficient resource allocation. Traditional machine learning models, such as Support Vector Classifiers (SVC) [1], have been extensively utilized for credit score classification due to their ability to handle complex classification tasks effectively. These models work by finding an optimal hyperplane [5] that separates different credit risk categories, making them a standard choice in credit scoring applications. However, as datasets become more complex and high-dimensional, traditional machine learning models face limitations in performance and scalability. The increasing complexity of data and the need for extensive hyperparameter tuning can pose challenges for classical approaches. To address these issues, this study explores the potential of quantum machine learning models, specifically Quantum Support Vector Classifiers (QSVC). Quantum machine learning leverages the unique properties of quantum computing, such as superposition and entanglement, to process and analyse large volumes of data in novel ways. By employing quantum feature maps, QSVCs transform classical data into quantum states, which can potentially capture intricate patterns and relationships that classical models might overlook. This exploration aims to assess whether quantum approaches can offer improvements in accuracy and efficiency for credit score classification compared to traditional methods.

Classical machine learning models, despite their robust capabilities, face several inherent limitations that can significantly impact their performance, especially when dealing with complex, high-dimensional datasets such as those used in credit score classification. One of the primary challenges is their difficulty in capturing intricate relationships and interactions within the data. Traditional models may struggle to identify and model complex, non-linear patterns, which can lead to suboptimal performance. Additionally, scalability becomes an issue as the size of the dataset grows, with classical models often requiring substantial computational resources and time for training, particularly when extensive hyperparameter tuning is involved.

These limitations are exacerbated in real-world applications where data complexity and volume are substantial, leading to increased computational expense and potentially reduced model effectiveness. To address these challenges, quantum machine learning (QML) presents a promising alternative. [10] Quantum computing harnesses the unique properties of quantum mechanics, such as superposition and entanglement, which enable quantum algorithms to process and analyse vast amounts of data in parallel. This capability allows QML models to capture complex patterns and relationships that may

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be difficult for classical models to discern.

Particularly, Quantum Support Vector Classifiers (QSVC) utilize quantum feature maps to transform classical data into quantum states, effectively leveraging the quantum computational framework to enhance classification performance. By doing so, QSVCs can potentially offer more efficient data processing and improved accuracy in classification tasks. The application of quantum techniques in machine learning represents a significant advancement, promising to overcome the limitations of classical approaches and provide more powerful tools for tackling complex data challenges. This study seeks to explore these potential benefits, evaluating whether QML can address the shortcomings of traditional models and offer advancements in credit score classification.

## II. Credit Risk Modelling

### A. Essential Role of Credit Risk Modeling

Credit Risk Modeling plays a pivotal role in finance, particularly within financial institutions like banks, credit unions, and insurance companies. This process involves quantifying the likelihood that a borrower will default on a loan or fail to meet their financial obligations. Here's why it is crucial and the impacts it has on financial institutions:

*a)* ***Risk Assessment and Management****:* Credit risk modeling allows financial institutions to assess the risk associated with lending money or extending credit. [2] By predicting the probability of default, institutions can determine whether to approve a loan, set appropriate interest rates, or require collateral. This risk assessment is crucial for managing the potential loss that could arise from defaulting borrowers.

*b)* ***Capital Allocation****:* Regulatory bodies require financial institutions to hold a certain amount of capital based on the level of risk they take on. [2] Credit risk modeling helps institutions calculate the necessary capital reserves to cover potential losses. This ensures that they remain solvent and can absorb shocks from bad loans or economic downturns.

*c)* ***Decision-Making in Lending****:* Credit risk models support informed decision-making in the lending process. They help in setting credit limits, pricing loans, and managing portfolios. With a clear understanding of the creditworthiness of borrowers, institutions can make more precise and profitable lending decisions.

*d)* ***Portfolio Management****:* Institutions often hold a diversified portfolio of loans and other credit instruments. Credit risk models help manage and optimize these portfolios by identifying concentrations of risk and suggesting adjustments to mitigate potential losses. This contributes to a more balanced and less volatile portfolio.

*e)* ***Enhancing Profitability****:* By accurately assessing the risk of default, financial institutions can tailor their credit products and pricing strategies to maximize returns while minimizing risk. This leads to a more profitable business model, as the institution can avoid high-risk loans and focus on opportunities with a favorable risk-return profile.

### B. Classical Credit Risk Modelling Approaches

Credit risk modeling employs various statistical, machine learning, and deep learning approaches. Statistical methods like Logistic Regression model default probability based on borrower characteristics, while Linear Discriminant Analysis (LDA) separates default and non-default cases using linear feature combinations [3]. Proportional Hazards Models focus on the time until default, and Credit Scoring Models assign scores based on borrower attributes to predict risk. Machine learning approaches include Decision Trees, which classify borrowers into risk categories, Random Forests that combine multiple decision trees to enhance accuracy, Support Vector Machines (SVM) for optimal boundary classification [4], and Gradient Boosting Machines (GBM) that sequentially build weak models to improve predictions [7]. In deep learning, Feedforward Neural Networks (FNN) model complex relationships with multiple layers, Recurrent Neural Networks (RNN) capture temporal dependencies in sequential data, Convolutional Neural Networks (CNN) detect patterns in structured data, and Autoencoders compress and reconstruct data to extract relevant features.

## III. Transition to Quantum Machine Learning

### A. Limitations in Classical Models

Classical machine learning models, while widely utilized, present several challenges when applied to complex and high-dimensional datasets. A key limitation is scalability, as the computational demands for both training and prediction increase significantly with larger datasets and higher dimensionality, often leading to excessive memory usage and longer processing times. Additionally, these models exhibit limited expressiveness, struggling to capture intricate non-linear relationships within the data, even with techniques like kernel methods, which offer only partial solutions to the complexity. Furthermore, the computational complexity of training these models, especially in high-dimensional spaces, can be prohibitive due to the need for extensive hyperparameter tuning, cross-validation, and feature engineering. This combination of scalability, expressiveness, and computational challenges makes classical models less suitable for applications requiring efficient analysis of vast, complex datasets.

### B. Advantages of Quantum Computing

Quantum models offer several compelling advantages over classical machine learning approaches, these advantages stem from the unique properties of quantum computing, which can provide significant improvements in both performance and efficiency.

1) Enhanced Expressiveness: Quantum feature maps can capture complex, non-linear relationships within the data more effectively than classical models. By encoding data into quantum states, these maps can represent intricate patterns and structures that are challenging for classical models to identify. The quantum representation allows for a richer and more nuanced depiction of the



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data's underlying relationships, which can be crucial for understanding and modelling complex datasets.

2) Efficient Computation: Quantum computing leverages the principle of superposition, which enables quantum systems to perform multiple computations simultaneously. This ability to process a vast number of possibilities in parallel can significantly accelerate training times and enhance model evaluation efficiency. As a result, quantum models can potentially achieve faster convergence and reduce the computational resources required for processing large datasets.
3) Improved Accuracy: Quantum models, particularly Quantum Support Vector Classifiers (QSVCs), have demonstrated the potential to achieve higher accuracy in classification tasks compared to their classical counterparts. By utilizing quantum kernels and feature maps, QSVCs can better capture and exploit the complexities of the data, leading to more precise and reliable predictions. This improved accuracy is supported by evidence from studies showing that quantum models can outperform classical models in various benchmark tasks, such as credit score classification.

## IV. Modelling Data for Classification

### A. Data Preprocessing

The data preprocessing phase begins by importing essential libraries and loading the credit scoring dataset, which includes a variety of features such as age, gender, income, education, marital status, number of children, and home ownership status. Alongside these features, the dataset contains the target variable representing the credit score, which is the outcome we aim to predict. Label encoding techniques are used to convert categorical data into numerical format, which is crucial because ML algorithms require numerical inputs to process and analyse data effectively. For instance, categorical variables like gender, education level, marital status, and home ownership status are converted into numeric codes, allowing the algorithms to interpret these features correctly.The target variable, which indicates the credit score, is also subjected to encoding. This is typically done to convert the credit score into a format that the model can work with, such as discrete classes or numerical values depending on the nature of the classification task. Standard scaling, [8] or standardization, involves normalizing the data so that each feature contributes equally to the model training process. This step ensures that features with different scales or units do not disproportionately influence the model. Standard scaling transforms the features to have a mean of zero and a standard deviation of one, making the data more homogeneous and improving the performance of machine learning algorithms.

### B. Exploratory Data Analysis

Exploratory Data Analysis (EDA) is performed to understand the structure of the dataset and the relationships between features and the target variable. Key techniques used include

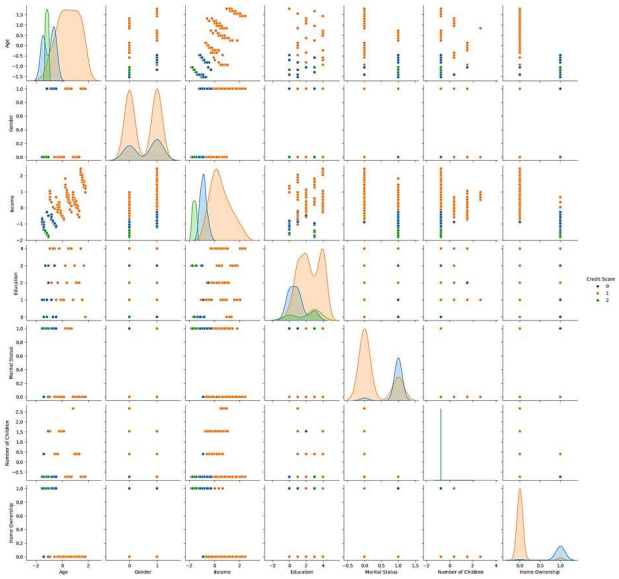


Fig. 1. Pair Plots for the Credit Scoring Classification Dataset

pair plots, which visualize pairwise relationships between features, revealing correlations, trends, and potential interactions that may not be immediately apparent. These visualizations can also help identify outliers or clusters, guiding feature selection and engineering for subsequent modelling phases. (as shown in Fig. 1.)

### C. Classical Model Training

In the Classical Model Training phase, the dataset is divided into training and test sets to evaluate the performance of the machine learning model.First, the dataset is split into two distinct subsets: a training set and a test set. The training set is used to train the Support Vector Classifier (SVC) model [5][7] while the test set is reserved for evaluating the model's performance on data that it has not seen during training. The SVC model is then trained and the model learns to classify the data by finding the optimal hyperplane that separates different classes of credit scores. The training involves adjusting the model's parameters to minimize classification errors and improve its predictive accuracy.

### D. Dimensionality Reduction

Kernel Principal Component Analysis (KPCA) is employed to address the challenges associated with high-dimensional data [8]. This step is essential for simplifying the dataset while retaining its most crucial information, which is particularly important for preparing the data for subsequent modelling stages. KPCA is used to transform the data into a lower-dimensional space which can address the issues regarding computational complexity and potential overfitting due to high dimensionality [8]. KPCA extends this approach by utilizing kernel methods to capture non-linear relationships within the data. [3] The process begins by applying a kernel function, such as the



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Radial Basis Function (RBF) kernel, to map the original data into a higher-dimensional space. This transformation allows KPCA to identify and extract the principal components that best represent the data's underlying structure. By projecting the data into this new space, KPCA captures more complex patterns and relationships that may not be apparent in the original feature space.

## V. Quantum Feature Map And Training

Quantum feature maps are pivotal in QML models, serving as the bridge between classical data and quantum algorithms. In this work, various quantum feature maps including ZZFeatureMap, PauliFeatureMap, and their combination (ZZPauliMap) are explored to find the effectiveness in quantum classification. ZZFeatureMap encodes classical data into quantum states using single-qubit rotations and entangling operations that involve all pairs of qubits. This feature map captures interactions between qubits through entangling gates, which helps in representing complex data structures in the quantum domain.PauliFeatureMap transforms classical data using single-qubit rotations around the Pauli-X, Pauli-Y, and Pauli-Z axes. This map focuses on encoding data in a manner that highlights specific qubit interactions and quantum gates' effects, contributing to the model's ability to distinguish between different data patterns. ZZPauliMap [10] which integrates the functionalities of both ZZFeatureMap and PauliFeatureMap uses single-qubit rotations around multiple Pauli axes and entangling gates between pairs of qubits. By leveraging these methods, the ZZPauliMap aims to capture both individual and pairwise interactions within the data more comprehensively. (as shown in Fig. 2.)

### *A. Mathematical implementation of the combinational ZZPauliMap*

1) **Initialization**: Start with a quantum state $|0\rangle^{\otimes n}$, where $n$ is the number of qubits.
2) **Single Qubit Rotations**: Apply single-qubit rotations around the Pauli-X, Pauli-Y, and Pauli-Z axes based on the input data vector $x = (x_1, x_2, \ldots, x_n)$:

$$U_{\text{single}}(x) = \prod_{i=1}^{n} R_X(\theta_1 x_i) R_Y(\theta_2 x_i) R_Z(\theta_3 x_i) \tag{1}$$

where the rotation gates are defined as:

$$\begin{aligned} R_X(\theta_1 x_i) &= \exp(i\theta_1 x_i X_i), \\ R_Y(\theta_2 x_i) &= \exp(i\theta_2 x_i Y_i), \\ R_Z(\theta_3 x_i) &= \exp(i\theta_3 x_i Z_i) \end{aligned}$$

3) **Entangling Gates**: Apply entangling gates between pairs of qubits to capture pairwise interactions:

$$U_{\text{entangle}}(x) = \prod_{i<j} \exp(i\gamma x_i x_j Z_i Z_j) \tag{2}$$

where $\gamma$ is a parameter controlling the strength of the interaction.

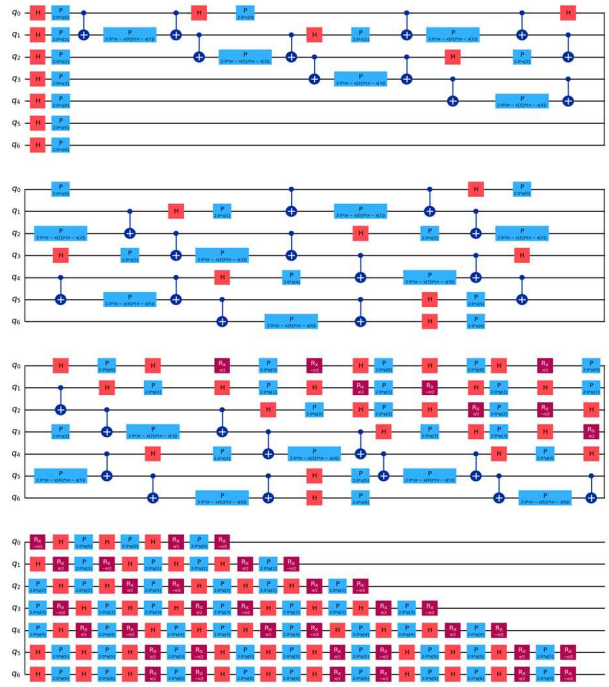

Fig. 2. Schematic circuit diagram of the ZZPauliMap

4) **Combining Single Qubit Rotations and Entangling Gates**: The combined feature map for a single layer is:

$$U^{(1)}_{\text{combined}}(x) = U_{\text{entangle}}(x) \cdot U_{\text{single}}(x) \tag{3}$$

$$U^{(1)}_{\text{combined}}(x) = \left( \prod_{i<j} \exp(i\gamma x_i x_j Z_i Z_j) \right) \times \left( \prod_{i=1}^{n} \exp(i\theta_1 x_i X_i) \exp(i\theta_2 x_i Y_i) \exp(i\theta_3 x_i Z_i) \right) \tag{4}$$

5) **Multiple Layers**: For $L$ layers, each layer $l = 1, 2, \ldots, L$ will have its own set of parameters $\theta_1^{(l)}, \theta_2^{(l)}, \theta_3^{(l)}, \gamma^{(l)}$. The single qubit rotations and entangling gates for each layer are:

$$\begin{aligned} U^{(l)}_{\text{single}}(x) = \prod_{i=1}^{n} &\exp(i\theta_1^{(l)} x_i X_i) \\ &\times \exp(i\theta_2^{(l)} x_i Y_i) \\ &\times \exp(i\theta_3^{(l)} x_i Z_i) \end{aligned} \tag{5}$$

$$U^{(l)}_{\text{entangle}}(x) = \prod_{i<j} \exp\left(i\gamma^{(l)} x_i x_j Z_i Z_j\right) \tag{6}$$

The complete feature map combining all $L$ layers is:

$$U_{\text{combined}}(x) = \prod_{l=1}^{L} U^{(l)}_{\text{entangle}}(x) \cdot U^{(l)}_{\text{single}}(x) \tag{7}$$



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### B. Training a Quantum Machine Learning Model

In this phase, the focus shifts to leveraging quantum computing techniques to build and evaluate a quantum machine learning model for credit score classification. [6] This involves several key steps, from setting up a quantum kernel to training and evaluating the Quantum Support Vector Classifier (QSVC) model. [14]

First, a quantum kernel is established using the previously defined quantum feature map. The quantum kernel, which serves as the core component of the quantum machine learning model, is responsible for mapping classical data into a quantum state and capturing the complex relationships between data points in the quantum domain. The chosen feature map (e.g., ZZFeatureMap, PauliFeatureMap, or ZZPauliMap) determines how the data is encoded and transformed into quantum states, impacting the performance and accuracy of the kernel. [16]

With the quantum kernel in place, the QSVC model is trained using this kernel. QSVC, a quantum analog of the classical Support Vector Classifier (SVC), utilizes quantum computing principles to perform classification tasks. During training, the model learns to differentiate between classes by finding the optimal hyperplane in the quantum feature space. The training process involves optimizing the model parameters to improve its predictive accuracy.

To ensure no overfitting, the QSVC model is evaluated using stratified k-fold cross-validation. This technique divides the dataset into k equally sized folds, ensuring that each fold maintains the same proportion of class labels as the original dataset. The model is trained and validated k times, with each fold serving as a test set once and as part of the training set k-1 times. This approach helps in assessing the model's performance across different subsets of the data and provides a more reliable estimate of its generalization ability.

In addition to cross-validation, grid search techniques are employed to fine-tune the model's hyperparameters. Grid search systematically explores a predefined set of hyperparameter values to find the optimal combination that yields the best performance. This process involves evaluating different configurations of hyperparameters and selecting the one that maximizes the model's accuracy and effectiveness.

Once the QSVC model is trained and optimized, its performance is compared with that of the classical SVC model. This comparison is based on test accuracy, which measures how well each model performs on unseen data. By evaluating the quantum model against the classical model, the study aims to assess whether the integration of quantum techniques offers significant improvements in classification performance.

## VI. Model Explainability

In the Model Interpretability phase, the focus is on understanding and explaining the predictions made by the Quantum Support Vector Classifier (QSVC), which, due to its quantum nature, can be challenging to interpret directly. To address this issue, Local Interpretable Model-agnostic Explanations (LIME) are employed to shed light on the factors influencing the model's classification decisions.

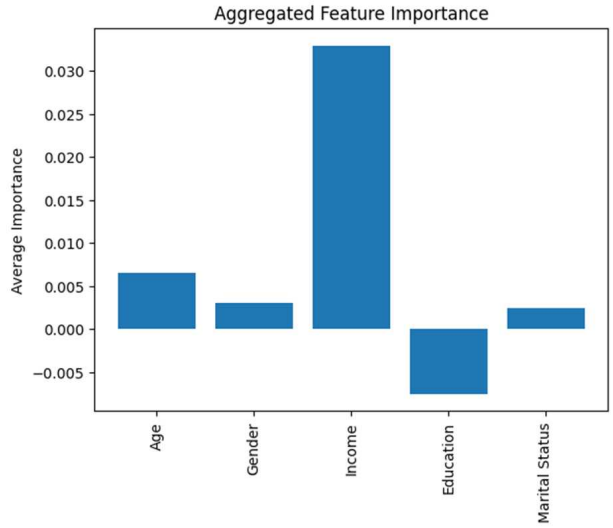


Fig. 3. LIME plot of Average Importance vs Feature Names for QSVC model

LIME is a powerful technique designed to provide interpretability for machine learning models that often function as "black boxes", including complex models /like QSVC. [18] The method works by approximating the behaviour of the complex model with a simpler, interpretable model in the vicinity of each prediction. This approach allows for generating explanations that elucidate how the model arrived at its decisions for individual instances.

To implement LIME, the feature importances for individual predictions are calculated. This involves perturbing the input data and observing how the predictions change, [12] which helps in understanding which features have the most significant impact on the model's output. For each instance, LIME creates a local approximation of the QSVC model, which is simpler and easier to interpret, to explain the prediction made for that specific case.

To obtain a comprehensive view of the model's behaviour, feature importances are aggregated across multiple instances. This aggregation process involves averaging the importance scores of each feature across the different instances in the dataset. By doing so, it provides an overall perspective on which features are most influential in driving the model's predictions. (as shown in Fig. 3.)

The aggregated feature importances highlight the relative significance of different features in the credit score classification process. This step is crucial for enhancing the interpretability of the QSVC model, [13] as it allows stakeholders to understand which features the model considers important and how they influence the classification results.



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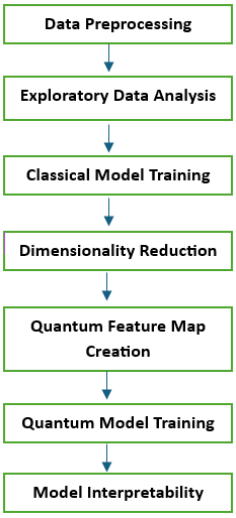


Fig. 4. Flowchart

## VII. Results

### A. Classical Model Performance

The performance of the classical Support Vector Classifier (SVC) was initially evaluated on the credit score classification dataset which includes information on Age, Gender, Income, Education, Marital Status, Number of Children, Home Ownership, and Credit Score, yielding training and test accuracies of approximately 79 percent before the application of cross-validation and hyperparametric tuning, and roughly 78.7% after incorporating these techniques. These accuracy metrics establish a solid baseline for subsequent comparison with quantum models. The classical SVC's performance underscores its effectiveness in handling the dataset, serving as a reference point for assessing the advantages offered by more advanced methods. By providing a benchmark, these results help in evaluating whether the integration of quantum machine learning [1] techniques can deliver superior performance or enhancements in prediction accuracy.

### B. Quantum Model Performance

The quantum model, incorporating a combinational quantum feature map and Quantum Support Vector Classifier (QSVC), exhibited a range of test accuracies that illustrate the impact of quantum techniques on model performance. Before integrating the combinational quantum feature map, the test accuracy was 75.7% (for both ZZFeatureMap and PauliFeatureMap individually), which reflects the model's initial capability in classification tasks. However, following the incorporation of the combinational quantum feature map - consisting of both ZZFeatureMap and PauliFeatureMap (for 3 repetitions and linear entanglement), the test accuracy improved to 78.7% and 84.8% [10] respectively, (as shown in Table 1) before and after performing cross validation and hyperparametric tuning. This notable increase in accuracy

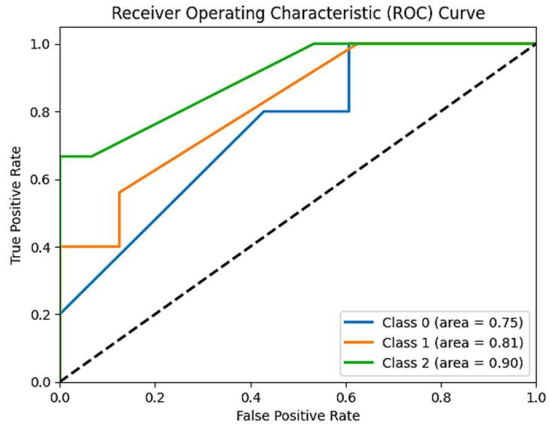


Fig. 5. ROC Curve of the QSVC Model

highlights the significant role that combinational quantum feature maps play in enhancing the performance of quantum models.

The hybrid ZZPauliMap exhibited superior performance relative to the individual ZZFeatureMap and PauliFeatureMap due to its ability to capture a broader range of quantum states and more complex data representations. The ZZFeatureMap primarily focuses on encoding pairwise interactions between qubits via entanglement, which is effective in capturing correlated features. However, its expressiveness may be limited when dealing with highly non-linear data patterns that involve more intricate, multi-qubit interactions. Similarly, the PauliFeatureMap encodes data using single-qubit rotations around the Pauli-X, Pauli-Y, and Pauli-Z axes, emphasizing individual qubit states, but without fully exploiting the potential of entanglement between qubits.

The hybrid ZZPauliMap integrates the strengths of both approaches by combining the entanglement of the ZZFeatureMap with the rotational flexibility of the PauliFeatureMap. This allows the model to simultaneously capture both local (single-qubit) and global (multi-qubit) interactions within the data. Specifically, the hybrid map's ability to apply multi-axis rotations followed by entanglement gates creates a more expressive quantum feature space, enabling it to represent more complex non-linear relationships between features. This expanded representational capacity allows the quantum support vector classifier (QSVC) to better distinguish between classes, leading to improved classification accuracy. The combination of rotational operations and entanglement in the ZZPauliMap thus provides a more nuanced and comprehensive feature embedding, which directly contributes to the observed enhancements in model performance.

### C. Feature Importance Analysis

The analysis of feature importances using Local Interpretable Model-agnostic Explanations (LIME) provided crucial insights into the factors that most influence credit score classification. According to the LIME analysis, Income with



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| SL No | Feature Map Used | Accuracy |
|---|---|---|
| 1. | ZZFeatureMap | 75.7% |
| 2. | PauliFeatureMap | 75.7% |
| 3. | ZZPauliMap | 84.8% |

Table 1: Accuracy yielded by different feature maps for QSVC after hyperparametric tuning

(For 3 repetitions and linear entanglement)

| Algorithm Used for Classification | Before Cross Validation and Hyperparametric Tuning | After Cross Validation and Hyperparametric Tuning |
|---|---|---|
| Classical SVC | 79% | 78.7% |
| Quantum SVC | 78.7% | 84.8% |

Table 2: Comparison between the accuracies of Classical and Quantum SVC (using ZZPauliMap)

(For 5 components and gamma = 15 after dimensionality reduction using Kernel PCA)

| SL No | Features | Average Importance |
|---|---|---|
| 1. | Age | 0.007 |
| 2. | Gender | 0.003 |
| 3. | Income | 0.33 |
| 4. | Education | -0.008 |
| 5. | Marital Status | 0.002 |

Table 3: Features and their corresponding Average Importance from LIME interpretation

('-' sign indicates that the feature negatively effects the performance of the model)

average importance of 0.33 (as shown in Table 3) emerged as the most significant feature impacting the model's predictions. This finding underscores the importance of these features in determining creditworthiness and highlights how they drive the model's decision-making process. The ability to interpret which features are most influential enhances the overall understanding and trust in the model's predictions. By elucidating the contributions of different features, LIME helps in validating the model's behaviour and ensures that the factors driving the predictions are aligned with domain knowledge and expectations. This interpretability is essential for making informed and transparent decisions in financial contexts, reinforcing the reliability of the model's outputs.

### D. Analysis

The study underscores the promising capabilities of quantum machine learning models for credit score classification by demonstrating their competitive performance relative to traditional classical methods. Specifically, the integration of Kernel Principal Component Analysis (KPCA) with advanced combinational quantum feature maps—such as ZZPauliMap—significantly enhances the model's ability to capture and represent intricate patterns within the data. By exploiting quantum mechanical properties such as superposition and entanglement, quantum models—such as the Quantum Support Vector Classifier (QSVC)—are able to process and encode data in a higher-dimensional Hilbert space. This ability to capture intricate correlations and interactions between data points surpasses the capacity of classical models, particularly when dealing with high-dimensional datasets. The quantum feature maps, by incorporating entanglement and multi-qubit interactions, allow for a richer representation of the data, thus enhancing the model's capacity to detect subtle patterns that may remain hidden in classical approaches. This accounts for the observed improvements in classification accuracy and overall model performance, highlighting the potential of quantum machine learning in addressing complex data challenges.

The findings of the study highlight the critical role of feature engineering and dimensionality reduction in optimizing the performance of quantum machine learning models applied to financial datasets. Feature engineering involves selecting, transforming, and scaling features to better align with the model's requirements and capabilities. In this study, KPCA emerged as a key technique for dimensionality reduction, effectively simplifying the dataset while preserving essential information. This reduction process not only facilitates the application of quantum algorithms but also ensures that the models are trained on the most relevant aspects of the data. By showcasing the value of dimensionality reduction techniques, the study emphasizes how preprocessing steps can significantly enhance the efficacy of quantum models, leading to more accurate predictions and better overall performance.

The study also addresses the importance of model interpretability, which is crucial for understanding and trusting the predictions made by complex models. Utilizing the Local Interpretable Model-agnostic Explanations (LIME) technique, the research provides valuable insights into how different features contribute to the model's decisions. LIME helps in breaking down the model's predictions into understandable components, making it possible to see which features have the most significant impact on the outcome. This interpretability is essential in financial contexts where transparency and justification of decisions are critical. By elucidating the factors influencing the model's predictions, LIME enhances the practical applicability of quantum models and builds trust among stakeholders, ensuring that the models are not only effective but also aligned with regulatory and ethical standards.

## VIII. Practical Implications

The implementation of Quantum Support Vector Classifiers (QSVC) in real-world financial institutions, while promising in terms of enhanced predictive accuracy and efficiency, presents significant challenges related to computational feasibility and hardware requirements. Quantum computing, and consequently QSVC, relies on specialized quantum hardware such as quantum processors that can maintain qubits in superposition and exploit quantum entanglement. Current quantum hardware remains in a nascent stage of development, with limited qubit coherence times, high error rates, and scalability challenges. For financial institutions to leverage QSVCs effectively, substantial advances in quantum hardware are required to support the large-scale data typical of financial applications, such as credit risk analysis and portfolio optimization.

Moreover, the computational cost of implementing QSVCs extends beyond hardware limitations to include the consid-



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erable complexity of integrating quantum algorithms with existing classical infrastructures. Hybrid quantum-classical algorithms, are more feasible in the near term but still necessitate high-performance classical computational resources for data preprocessing, quantum kernel construction, and interfacing with quantum hardware. This adds to the overall computational burden, particularly in high-frequency trading or real-time credit scoring systems, where latency and performance are critical.

Another practical concern is the overhead associated with tuning quantum feature maps, such as the ZZPauliMap, which may require substantial computational resources for hyper-parameter optimization, cross-validation, and fine-tuning to achieve meaningful performance improvements over classical models. Given these challenges, the financial sector must carefully evaluate the cost-benefit ratio of adopting quantum machine learning models like QSVC, as the potential gains in accuracy and processing efficiency may be offset by the significant investment in quantum hardware and software integration.

## IX. Conclusion

This research highlights the promising potential of quantum machine learning within financial applications, particularly for credit score classification. By effectively combining classical machine learning techniques with advanced quantum algorithms, the study establishes a robust framework for enhancing predictive accuracy. The integration of classical methods with quantum techniques, especially Quantum Support Vector Classifiers (QSVCs) using combinational quantum feature maps, demonstrates that quantum models can deliver competitive performance on par with traditional Support Vector Classifiers (SVCs). This approach benefits from the ability of quantum models to capture complex, non-linear relationships in high-dimensional data, thereby offering a new dimension of accuracy and efficiency in classification tasks. The research confirms that quantum machine learning is not only feasible but also effective in practical financial scenarios, setting a solid foundation for future exploration and application.

## X. Future works

Looking ahead, future research will delve deeper into exploring a wider array of quantum algorithms to further enhance model performance and applicability. This includes investigating alternative quantum learning methods such as Quantum Neural Networks (QNNs) and Quantum Bayesian Networks, [12] which could potentially offer additional improvements in predictive accuracy and efficiency. Future work will also focus on refining feature engineering techniques to better leverage the strengths of quantum models. This involves developing more advanced methods for selecting and transforming features, ensuring that quantum algorithms can be optimally applied to various datasets. Additionally, addressing scalability [11] challenges and optimizing quantum models for larger, more complex datasets will be a priority. The study sets a precedent for integrating quantum computing with traditional machine learning methods, and ongoing research will aim to build upon these findings to drive significant advancements in predictive analytics and other domains.

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